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December 8, 2025

To:
Sh. Joe Bradford

Zakat on Shares

Dear Joe Bradford,

I have been reading your work with appreciation, especially your efforts to simplify the complexities of zakat calculation for modern investors. Your intention to make these matters accessible is commendable, and it is clear that you have put considerable thought into creating a practical framework. With that said, I would like to offer a gentle clarification on one specific point: the zakat calculation for long-term shares.

In your book 'Simple Zakat Guide', for a long term shareholder, you define the zakat over the shares, to be not the market price of the shares, but the sum of the company's cash, receivables and inventory ("CRI"). The argument for it is a parallel made between a shareholder and a shoemaker. In fact, the shoe manufacturer only pays zakat on CRI and not on productive assets (such as a hammer).

However, there are fundamental differences between the shoemaker and the shareholder that, in my opinion, render the analogy inapplicable.

A key condition for an asset to be in scope for zakat is that its owner has an undivided and absolute right of ownership. Ownership means "*authority that enables the owner to use the owned thing and get the benefit of all its utilities in a perpetual and exclusive manner*" (Al Bahr al Raiq, Vol 2, 218). A full derivation for this condition can be found in Fiqh al Zakah (Vol. I), Dr. Yusuf al Qardawi, Chapter 1.

Shareholders have no legal title to corporate property; the company itself owns all of its assets.

This principle originated from landmark cases, such as *Salomon v. Salomon & Co. Ltd.* (1897), which established that corporate property is distinct from the property of its shareholders. The shareholder has a financial interest in the company, but does not have a dominion over these assets. They do not have the right to take inventory, collect receivables, dispose of company cash, or access/use corporate property.

However, a shoe-shop owner has direct ownership of cash, stock, and receivables. Their dominion is immediate and total.

This is a fundamental difference between the two, and a direct analogy cannot be made in the context of zakat.

The wealth the shareholder has access to and dominion over is the share price of their holding. Hence why, it is the value over which zakat should be calculated.

I would like to further raise your attention to a number of absurd situations that the CRI methodology described in the book, creates:

- Franchise companies have little or no assets. This is because they charge a fee to their franchisees but do not own the walls. So taking that calculation, as of December 8, a Macdonalds shareholder would only pay 0.06% of zakat on the dollar.
- For a bankrupt company, the asset value held by the corporation can be above enterprise value. The reason is these assets go against more secured holders (bondholders, etc). For instance, a 150\$ position in FOXO as of Dec8 gives, using the "CRI" calculation a zakat of 12,433\$. Way above the wealth of the holder (see Figure);

Calculate Zakat on Stocks

A free tool to help you instantly and accurately calculate how much zakat you owe on your investments.

Methodology

Holdings (1)

+ Add Holding

Calculate

Holding	Type	Shares	Current Price	Value	Actions
FOXO Foxo Technologies Inc.	Long-term	1000000	\$0.00	\$150.00	×

\$12,433.80

USD ▾

Total zakat due

Hide breakdown ↕

Rysunek 1: Using the 'CRI' Zakat calculation yields cases where zakat is above share value - see above

In summary, the zakat for stocks should be calculated much like any other asset (gold, silver, etc), as 2.5% of their market value. It's the standard approach, and is consistent with the spirit of zakat, a transfer of wealth, where that wealth that can be accessed without restriction. The analogy with the shoemaker is not valid, because of the fundamental differences of ownerships and rights over the held assets.

And Allah knows best.

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